GreatJunior Advantage (Plan Code: 0244)

PLAN DESCRIPTION

This is a participating whole life regular premium anticipated cash payment plan. This plan is to be marketed by Agency Force as GreatJunior Advantage.

Target launch date for this plan is 1st April 2004.

Note: This product is also known as Great Income Advantage.

SELLING CONCEPT

Assuming that Junior Advantage Rider is attached, and the conversion option is exercised at the end of 10th year:

- Pay premium for 10 years
- Start receiving cash payment from 10th policy year until maturity
- Particularly attractive on child's life (long cash payment term)
- Lump sum on death

Target market segments:

- People with young children; to take advantage of the long cash payment term

BENEFITS

i. Death Benefit

Upon death of the Life Assured, the Basic Sum Assured plus the accumulated cash bonus will be payable in one lump sum.

A lien applies on the Basic Sum Assured for death occurring before the age of 5 as follows:

Age Next Birthday at Death	Death Benefit after Lien
1	20% of Basic Sum Assured
2	40% of Basic Sum Assured
3	60% of Basic Sum Assured
4	80% of Basic Sum Assured

ii. Total and Permanent Disability (TPD)

If TPD occurs between age 6 and 60,

a) all future premiums will be waived;
b) up to RM 500 000 under this policy [BASIC + RIDER (if attached)], and all other policies under the same life will be payable in ONE lump sum;
c) and, if any, two equal annual installments of the balance such that in total the TPD payments shall not exceed RM 1 million.
d) and, all the accumulated cash bonus (if any)

TPD benefit is not payable if it occurs before age 6 and after age 60. The Basic Plan will terminate upon TPD.

iii. Survival Benefit
Guaranteed Cash Payment

Starting from the end of the 10th year, a guaranteed cash payment of 5% of the Basic Sum Assured is payable every year until maturity or death of the Life Assured.

The Last Guaranteed Cash Payment will be payable at maturity.

iv. Non Guaranteed Cash Bonus

Bonus Rate

Year	% of Basic Sum Assured
1	-
2	0.5
3	0.7
4	0.9
5	1.2
6	1.5
7	1.7
8	2.0
9	2.5
>=10	3.0

The Cash Bonuses that would be declared may be more or less, depending on the operating and investment results experienced by the Company.

Four options are available pertaining to the Cash Bonus and Survival Benefit

Option 1 : To receive Survival Benefit and Cash Bonus when it is payable with authority to the Company to utilise the Survival Benefit to pay any Automatic Premium Loan and Cash Loan.

Option 2 : To apply the Survival Benefit and Cash Bonuses to Automatic Premium Loan, if any, and premium due until the Survival Benefit and Cash Bonuses are exhausted. Thereafter to leave the balance, if any with the Company.

Option 3 : To leave the entire accumulated Survival Benefit and Cash Bonuses on deposit with the Company. However, if the total indebtedness exceeds the surrender value (excluding Bonuses) of the policy at any time, this option shall thereafter automatically change to Option 2.

Option 4 : Option (3) for ___ years from the Date of Commencement of the Policy and Option (2) thereafter. However, if the total indebtedness exceeds the surrender value (excluding Bonuses) of the policy at any time, this option shall thereafter automatically change to Option 2.

v. Maturity Benefit

Upon maturity, these will be payable in one lump sum

a. Basic Sum Assured

i. *Junior Advantage Rider attached*:

Depending on whether Option 1or Option 2 is chosen:

Option 1. Guaranteed Fully Paid-Up Whole Life Plan

The policy will mature at age 87. Maturity Benefit equivalent to the revised Basic sum assured will be payable, as (150%) of Basic sum assured.(Note: The Rider will terminate after exercising Option1).

Option 2. Extend the Junior Advantage Rider's benefits to age 87

The policy will mature at age 87. Maturity Benefit equivalent to the Basic sum assured shall be payable.

ii. *Junior Advantage Rider not attached*: Basic sum assured will be payable.

b. Accumulated Survival Benefit (if accumulated with the company)

c. Accumulated Cash Bonus (if any)

PREMIUM

Mode of Payment

i. Annual, Half-yearly, Quarterly and Monthly

ii. Standard factors apply for mode other than annual.

Mode of premium payments	Factors
Half-yearly	0.51000
Quarterly	0.25750
Monthly	0.08750

Premium Term

87 – Age at entry

UNDERWRITING GUIDELINES

Term of Policy

87 – age at entry

Minimum/Maximum Age of Entry

i. Minimum : 1 month old for life assured
ii. Maximum : 50 years next birthday

Minimum/Maximum Sum Assured (nearest Ringgit)

i. Minimum : RM 25 000
ii. Maximum : Subject to underwriting

Discounts

Female : Separate rates for females
Non-smoker : NA

Large Sum Assured : As per table below:

Basic Sum Assured	Discount per RM 1000 BSA
25 000 to 49 999	Nil
50 000 to 99 999	RM 1.00
100 000 to 299 999	RM 1.50
>= 300 000	RM 1.80

Backdating
As per current practice for participating business.

Underwriting Guidelines
As per current practice for participating business.

STAFF AND STAFF FAMILY DISCOUNT

A discount of 10% of premium will be given to Staff and a discount of ~~5%~~ 7.5% will be given to Staff's Family.

OTHER PRODUCT FEATURES

Policy Loans
This policy will acquire a loan value after 3 years.

Extended Term Assurance
Standard – Convertible to an ETA whenever there is a cash value.

Automatic Premium Loan
Allowed

Option to Purchase New Policy
Allowed – As per current practice.

Paid-up Values
Allowed – As per current practice.

Surrender Values (SV)
Surrender value shall follow the Act Minimum Basis.

OTHER PRIVILEGES

Assignment/Nomination
i. This policy can be issued as a Third Party policy.
ii. Assignment and Nomination is allowed.

Free-Look Period
Policyholder is allowed to cancel the policy within 15 days.

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Supplementary Benefits / Riders
Besides the Junior Advantage Rider, other riders are attachable to this plan.
Coverage for these other riders will terminate upon the point of conversion (i.e. end of 10th policy year) if Option 1 is selected. Surrender values for these other riders (if any), will then be payable.
Note however, that the Junior Advantage Rider is only attachable to GreatJunior Advantage.
Attachment of Payer Benefit Rider Plus or Payer Benefit Rider with Annual Benefit Plus:

- Rates will be GUARANTEED **only if benefit term 10 or below** is attached to GreatJunior Advantage. Rates for any other term will be as per the existing PBR+ and PBR with Annual Benefit +.

IMPORTANT NOTE:

U51 : For terms <= 10, prem rates are equivalent to U21 (Guaranteed)
For terms >10, prem rates are equivalent to W21 (Non-guaranteed)

U52 : For terms <= 10, prem rates are equivalent is equivalent to U22 (Guaranteed)
For terms >10, prem rates are equivalent to W22 (Non-guaranteed)

This means that if the rates for W21 and W22 are revised in the future, the U51 and U52 rates for terms >10 will also have to be revised.

Annual Premium per RM 1000 Basic Sum Assured

Age at entry	Male	Female	Age at entry	Male	Female
1	61.50	61.45	26	63.64	63.35
2	61.53	61.48	27	63.94	63.53
3	61.56	61.51	28	64.24	63.71
4	61.59	61.54	29	64.54	63.89
5	61.62	61.57	30	64.84	64.07
6	61.65	61.60	31	65.14	64.25
7	61.68	61.63	32	65.44	64.43
8	61.71	61.66	33	65.74	64.61
9	61.74	61.69	34	66.04	64.79
10	61.77	61.72	35	66.34	64.97
11	61.80	61.75	36	66.64	65.15
12	61.83	61.78	37	66.94	65.33
13	61.86	61.81	38	67.24	65.51
14	61.89	61.84	39	67.54	65.69
15	61.97	61.92	40	67.94	65.99
16	62.05	62.00	41	68.34	66.29
17	62.13	62.08	42	68.74	66.59
18	62.21	62.16	43	69.14	66.89
19	62.29	62.24	44	69.54	67.19
20	62.44	62.39	45	69.94	67.49
21	62.59	62.54	46	70.34	67.79
22	62.74	62.69	47	70.74	68.09
23	62.89	62.84	48	71.14	68.90
24	63.04	62.99	49	71.94	69.71
25	63.34	63.17	50	72.74	70.52

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Prepared by :	Verified by:	Approved by:
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